

D103

Intermediate Accounting I

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

Items

1.

An analyst at a pension fund that manages \$4 billion uses a retailer's segment disclosures to forecast next year's cash flows. The retailer's annual report won a design award. Which qualitative characteristic is the analyst relying on most?

- A. Faithful representation.
- B. Relevance, through predictive value.
- C. Comparability.
- D. Understandability, because the report won a design award.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2.

A consumer-products company sold its entire frozen-foods division, a strategic shift, at a pre-tax loss of \$5 million. The tax rate is 25%. The division had employed 900 people in three plants. How is the loss reported on the income statement?

- A. As a \$5 million loss from discontinued operations, before tax.
- B. As a \$1.25 million loss from discontinued operations.
- C. As a \$5 million operating expense.
- D. As a \$3.75 million loss from discontinued operations, below income from continuing operations.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3.

A manufacturer reports net income of \$250,000 and depreciation of \$40,000. Accounts receivable rose \$30,000, inventory fell \$10,000 and accounts payable rose \$15,000. It also paid \$20,000 in dividends, and its CEO was named executive of the year. What is cash from operating activities under the indirect method?

- A. \$245,000
- B. \$295,000
- C. \$265,000
- D. \$285,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4. [TRANSFER — reversed stem / different variable]

A company's cash from operations is \$180,000. Net income was \$150,000 and depreciation was \$20,000; the only other adjustment is a change in accounts receivable. What happened to accounts receivable?

- A.** It decreased by \$30,000.
- B.** It increased by \$10,000.
- C.** It decreased by \$10,000.
- D.** It cannot be determined without the ending AR balance.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

5.

On December 31 a hospital has a \$500,000 note payable from a regional bank with a 3.8% rate. It pays \$100,000 of principal each December for the next five years. How should the note appear on the December 31 balance sheet?

- A.** \$100,000 current liability and \$400,000 long-term liability.
- B.** \$500,000 current liability.
- C.** \$500,000 long-term liability.
- D.** \$400,000 current and \$100,000 long-term.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

6.

A distributor ends the year with \$500,000 of accounts receivable and estimates 4% will be uncollectible. Before adjusting, the allowance for doubtful accounts has a \$6,000 credit balance. Credit sales for the year were \$2,000,000, and the collections team hired two new staff. What is bad-debt expense under the percentage-of-receivables method?

- A.** \$26,000
- B.** \$20,000
- C.** \$80,000
- D.** \$14,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

7. [TRANSFER — reversed stem / different variable]

After adjustment, a company's allowance for doubtful accounts is \$25,000, and it recorded bad-debt expense of \$18,000. No accounts were written off. What was the unadjusted allowance balance?

- A.** \$25,000 credit
- B.** \$7,000 debit
- C.** \$7,000 credit
- D.** \$43,000 credit

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

8.

At year-end a firm holds \$50,000 in checking, \$500 of petty cash, a \$20,000 Treasury bill bought with a two-month original maturity, a \$30,000 six-month certificate of deposit, and a \$2,000 postdated customer check. Its bank is one of the five largest in the country. What should it report as cash and cash equivalents?

- A.** \$70,500
- B.** \$72,500
- C.** \$50,000
- D.** \$100,500

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

9.

A retailer began the year with 100 units at \$10. It bought 200 units at \$12 and then 100 units at \$15, and sold 250 units at \$25 each. The store manager was promoted in March. Using periodic FIFO, what is cost of goods sold?

- A.** \$3,300
- B.** \$2,800
- C.** \$2,100
- D.** \$3,062.50

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

10. [TRANSFER — reversed stem / different variable]

Prices have risen steadily all year. Which cost-flow method reports the highest ending inventory and the highest net income?

- A.** Weighted average.
- B.** FIFO.
- C.** LIFO.
- D.** All methods report the same income.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

11.

A furniture maker using FIFO has 1,000 chairs that cost \$80 each. Each will sell for \$95, needs \$10 more to finish and \$12 to sell. The current cost to replace a chair is \$70. The factory is in North Carolina. What inventory write-down is needed?

- A.** \$7,000
- B.** \$22,000
- C.** None, because the \$95 price exceeds cost.
- D.** \$10,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12. [TRANSFER — reversed stem / different variable]

After an LCNRV write-down, inventory costing \$60 per unit is carried at \$50 per unit. Costs to sell are \$8 per unit and there are no completion costs. What is the expected selling price per unit?

- A.** \$68
- B.** \$50
- C.** \$58
- D.** \$42

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer B Concept 1

An analyst at a pension fund ~~that manages \$4 billion~~ uses a retailer's segment disclosures to forecast next year's cash flows. ~~The retailer's annual report won a design award.~~ Which qualitative characteristic is the analyst relying on most?

Target word: name the characteristic **Decides:** Forecasting use = predictive value, part of relevance.

A	Confusion set	Concerns completeness, neutrality and freedom from error, not forecasting use.
B	Correct	Information with predictive value is relevant.
C	Adjacent category	An enhancing characteristic about comparing across firms or periods.
D	Camouflage	Presentation awards do not decide the characteristic in use.

2. Answer D Concept 2

A consumer-products company sold its entire frozen-foods division, a strategic shift, at a pre-tax loss of \$5 million. The tax rate is 25%. ~~The division had employed 900 people in three plants.~~ How is the loss reported on the income statement?

Target word: placement and amount **Decides:** Discontinued operations, net of tax: $\$5M \times (1 - 0.25)$.

A	Dropped element	Leaves out the tax effect; the item is shown net of tax.
B	Inverted operation	That is the tax benefit, not the net loss.
C	Adjacent category	Discontinued operations are not mixed into continuing operating results.
D	Correct	Reported separately and net of tax: $\$5M - \$1.25M$ tax benefit.

3. Answer D Concept 3

A manufacturer reports net income of \$250,000 and depreciation of \$40,000. Accounts receivable rose \$30,000, inventory fell \$10,000 and accounts payable rose \$15,000. It also paid \$20,000 in dividends, ~~and its CEO was named executive of the year.~~ What is cash from operating activities under the indirect method?

Target word: operating cash flow **Decides:** $250 + 40 - 30 + 10 + 15$.

A	Dropped element	Leaves out the depreciation add-back.
B	Inverted operation	Reverses the signs on the working-capital changes.
C	Adjacent category	Subtracts dividends, which are financing activities.
D	Correct	$\$250,000 + \$40,000 - \$30,000 + \$10,000 + \$15,000 = \$285,000$.

4. Answer C Concept 3 · transfer

A company's cash from operations is \$180,000. Net income was \$150,000 and depreciation was \$20,000; the only other adjustment is a change in accounts receivable. What happened to accounts receivable?

Target word: solve for the working-capital change **Decides:** $\$150,000 + \$20,000 + x = \$180,000$, so $x = +\$10,000$ (a decrease in AR).

A	Dropped element	Ignores the depreciation add-back.
B	Inverted operation	An increase would reduce operating cash.
C	Correct	A decrease in receivables adds cash, covering the \$10,000 gap.
D	Confusion set	Only the change is needed, and it can be solved for.

5. Answer A Concept 4

On December 31 a hospital has a \$500,000 note payable ~~from a regional bank with a 3.8% rate~~. It pays \$100,000 of principal each December for the next five years. How should the note appear on the December 31 balance sheet?

Target word: classification of the note **Decides:** \$100,000 is due within one year.

A	Correct	The next year's installment is current; the rest is noncurrent.
B	Absolute language	Only the amount due within one year is current.
C	Dropped element	Ignores the portion due within a year.
D	Inverted operation	Swaps the portions.

6. Answer D Concept 5

A distributor ends the year with \$500,000 of accounts receivable and estimates 4% will be uncollectible. Before adjusting, the allowance for doubtful accounts has a \$6,000 credit balance. ~~Credit sales for the year were \$2,000,000, and the collections team hired two new staff.~~ What is bad-debt expense under the percentage-of-receivables method?

Target word: bad-debt expense **Decides:** Required allowance \$20,000 – existing \$6,000 credit.

A	Inverted operation	Adds the existing credit balance instead of subtracting.
B	Dropped element	Ignores the \$6,000 already in the allowance.
C	Camouflage	Applies 4% to credit sales — the percentage-of-sales method, not the one asked for.
D	Correct	$4\% \times \$500,000 = \$20,000$ target; $\$20,000 - \$6,000 = \$14,000$.

7. Answer C Concept 5 • transfer

After adjustment, a company's allowance for doubtful accounts is \$25,000, and it recorded bad-debt expense of \$18,000. No accounts were written off. What was the unadjusted allowance balance?

Target word: solve for the beginning balance **Decides:** Ending \$25,000 – expense \$18,000.

A	Wrong stem number	The adjusted, not unadjusted, balance.
B	Inverted operation	A debit balance would require \$32,000 of expense to reach \$25,000.
C	Correct	$\$7,000 + \$18,000 = \$25,000$.
D	Confusion set	Adds expense to the ending balance.

8. Answer A Concept 6

At year-end a firm holds \$50,000 in checking, \$500 of petty cash, a \$20,000 Treasury bill bought with a two-month original maturity, a \$30,000 six-month certificate of deposit, and a \$2,000 postdated customer check. ~~Its bank is one of the five largest in the country.~~ What should it report as cash and cash equivalents?

Target word: cash and cash equivalents total **Decides:** Include checking, petty cash and the 2-month T-bill only.

A	Correct	$\$50,000 + \$500 + \$20,000$; the CD is over three months and the postdated check is a receivable.
B	Confusion set	Includes the postdated check, which is a receivable until its date.
C	Dropped element	Leaves out petty cash and the qualifying T-bill.
D	Adjacent category	Includes the six-month CD, a short-term investment.

9. Answer B Concept 7

A retailer began the year with 100 units at \$10. It bought 200 units at \$12 and then 100 units at \$15, and sold 250 units at \$25 each. ~~The store manager was promoted in March.~~ Using periodic FIFO, what is cost of goods sold?

Target word: FIFO COGS **Decides:** Oldest costs first: $100 \times \$10 + 150 \times \12 .

A	Confusion set	LIFO: $100 \times \$15 + 150 \times \12 .
B	Correct	$\$1,000 + \$1,800 = \$2,800$.
C	Inverted operation	That is FIFO ending inventory, not COGS.
D	Adjacent category	Weighted average: $\$4,900 / 400 = \12.25×250 .

10. Answer B Concept 7 · transfer

Prices have risen steadily all year. Which cost-flow method reports the highest ending inventory and the highest net income?

Target word: reverse: pick the method from the result **Decides:** FIFO leaves the newest, highest costs in ending inventory.

A	Adjacent category	Falls between FIFO and LIFO.
B	Correct	Older, cheaper costs go to COGS, so income and ending inventory are highest.
C	Inverted operation	LIFO gives the lowest income and ending inventory in rising prices.
D	Absolute language	They differ whenever unit costs change.

11. Answer A Concept 8

A furniture maker using FIFO has 1,000 chairs that cost \$80 each. Each will sell for \$95, needs \$10 more to finish and \$12 to sell. The current cost to replace a chair is \$70. ~~The factory is in North Carolina.~~ What inventory write-down is needed?

Target word: LCMNRV write-down **Decides:** $NRV = \$95 - \$10 - \$12 = \$73 < \$80$ cost.

A	Correct	$(\$80 - \$73) \times 1,000 = \$7,000$.
B	Wrong stem number	Totals the finishing and selling costs instead of comparing NRV with cost.
C	Dropped element	Ignores costs to complete and sell.
D	Confusion set	Uses the \$70 replacement cost, the old LCM rule, which does not apply to FIFO inventory.

12. Answer C Concept 8 · transfer

After an LCMNRV write-down, inventory costing \$60 per unit is carried at \$50 per unit. Costs to sell are \$8 per unit and there are no completion costs. What is the expected selling price per unit?

Target word: solve for selling price **Decides:** $NRV \$50 = \text{price} - \8 .

A	Wrong stem number	Adds selling costs to the \$60 cost instead of the NRV.
B	Dropped element	That is NRV, before adding back costs to sell.
C	Correct	$\$50 + \$8 = \$58$.
D	Inverted operation	Subtracts selling costs from NRV instead of adding.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owned.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	8	
Wrong stem number	A figure copied from the prompt that is not the answer.	3	
Adjacent category	The right idea in the wrong bucket.	6	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	9	
Absolute language	Always, never, guarantee — where judgment applies.	2	
Confusion set	Every option is real; the test is exact role-matching.	6	
Camouflage	Answers a stem fact that was never the question.	2	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Qualitative characteristics (conceptual framework)	The fundamental characteristics are relevance (predictive value, confirmatory value, materiality) and faithful representation (complete, neutral, free from error); comparability, verifiability, timeliness and understandability are enhancing.	Calling comparability or timeliness a fundamental characteristic, or mixing predictive value into faithful representation.	A description of what makes information useful — forecasting, accuracy, or consistency.
2	Discontinued operations	Results of a disposed component that is a strategic shift are reported separately, net of tax, below income from continuing operations.	Folding a segment's loss into operating expenses or reporting it before tax.	Sale or closure of a major line of business or geographic area.
3	Operating cash flow — indirect method	Start with net income, add non-cash expenses, subtract increases in current operating assets, add increases in current operating liabilities (and the reverse for decreases).	Adding an increase in receivables or subtracting dividends in operating activities.	Net income plus changes in receivables, inventory and payables.
4	Current vs. noncurrent classification	Obligations due within one year (or the operating cycle, if longer) are current, including the current portion of long-term debt.	Reporting all of a multi-year note as long-term.	A long-term obligation with an installment due next year.
5	Allowance method for bad debts	Under the percentage-of-receivables method, estimate the required ending allowance, then record bad-debt expense for the amount needed to reach it after considering the existing balance.	Booking the required allowance as expense without adjusting for the existing balance.	An aging or percentage estimate plus an unadjusted allowance balance.
6	Cash and cash equivalents	Cash equivalents are highly liquid investments with original maturities of three months or less; postdated checks, IOUs and longer CDs are not cash.	Counting a six-month CD or a postdated check as cash.	A list of cash-like items with maturities and restrictions.
7	Inventory cost flow: FIFO, LIFO, average	When prices rise, FIFO gives lower cost of goods sold, higher ending inventory and higher income; LIFO gives the reverse; average falls between.	Assigning the newest costs to COGS under FIFO.	Layers of purchases at rising unit costs.
8	Lower of cost or net realizable value	For FIFO or average-cost inventory, write down to NRV when $NRV < \text{cost}$; $NRV = \text{estimated selling price} - \text{costs to complete and sell}$.	Comparing cost with selling price, or using replacement cost (the older LCM rule).	Cost, expected selling price, and costs to finish or sell.

Course scope (public description): Intermediate Accounting I is the first of three in-depth financial accounting courses for accounting majors. The course builds upon topics covered in Principles of Accounting and Financial Accounting. The course focuses on financial accounting and accounting standards; the conceptual framework of the U.S. generally accepted accounting principles (GAAP); the income statement, the statement of cash flows, and the balance sheet; cash and receivables; and inventory valuation. The prerequisite to this course is Financial Accounting.